DCF Known-Answer Check

This check uses the training inputs in `dcf.py` and the annual end-of-year
cash-flow convention. Terminal value is calculated at the end of Year 5 and
discounted five years to the valuation date.

Output	Known answer	Result
FCFF Year 1	108.0000	Matches
FCFF Year 2	114.4800	Matches
FCFF Year 3	120.2040	Matches
FCFF Year 4	125.0122	Matches
FCFF Year 5	128.7625	Matches
Present value of explicit FCFF	448.4408	Matches
Terminal value at Year 5	1,894.6486	Matches
Present value of terminal value	1,176.4277	Matches
Enterprise value	1,624.8685	Matches
Equity value	1,374.8685	Matches
Value per diluted share	27.4974	Matches
Present value of terminal value / enterprise value	0.7240 (72.40%)	Matches

All twelve values match the known answers to four decimal places. A common
timing error is discounting the terminal value six years; this model correctly
discounts it five years because the terminal value is measured at the end of
Year 5.

Nike DCF Inputs

Input	Value	Unit	Date	Source / Locator
Starting FCFF	2,441.4	$ millions	May 31, 2026	Nike 2026 10-K, Cash Flow Statement
Growth Y1-Y5	8%, 6%, 5%, 4%, 3%	%	2026	Nike 2026 10-K, MD&A + forecast
WACC	10.0%	%	Sept. 10, 2026	My estimate
Terminal Growth	3.0%	%	Sept. 10, 2026	Long-run assumption
Cash	9,027	$ millions	May 31, 2026	Nike 2026 10-K, Balance Sheet
Debt	7,942	$ millions	May 31, 2026	Nike 2026 10-K, Debt Note
Diluted Shares	1,481.0	millions	May 31, 2026	Nike 2026 10-K, EPS Note

Nike stock price: $37.35

Price date/time: September 10, 2026, 12:37 AM EDT